Master's degree or above

Specification	Year FE	+ Client FE	+ Audit firm FE
Audit failure			
Separate regression	-0.0018	-0.0018	-0.0022
	(0.0029)	(0.0036)	(0.0036)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0172	0.2269	0.2334
Outcome mean (separate)	0.0406	0.0406	0.0406
Joint regression	-0.0006	-0.0004	-0.0009
	(0.0032)	(0.0039)	(0.0039)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0179	0.2272	0.2336
Outcome mean (joint)	0.0406	0.0406	0.0406
Master only vs. below bachelor	-0.0088**	-0.0081*	-0.0079*
	(0.0040)	(0.0045)	(0.0046)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0175	0.2271	0.2336
Outcome mean (categories)	0.0406	0.0406	0.0406
Restatement			
Separate regression	-0.0009	0.0007	-0.0001
	(0.0020)	(0.0025)	(0.0025)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0155	0.2099	0.2170
Outcome mean (separate)	0.0209	0.0209	0.0209
Joint regression	-0.0010	0.0020	0.0012
	(0.0022)	(0.0028)	(0.0028)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0160	0.2101	0.2172
Outcome mean (joint)	0.0209	0.0209	0.0209
Master only vs. below bachelor	-0.0043	-0.0033	-0.0041
	(0.0027)	(0.0031)	(0.0032)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0156	0.2100	0.2171
Outcome mean (categories)	0.0209	0.0209	0.0209
Violation			
Separate regression	0.0006	-0.0009	-0.0011
	(0.0024)	(0.0029)	(0.0029)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0083	0.2166	0.2216
Outcome mean (separate)	0.0246	0.0246	0.0246
Joint regression	0.0025	0.0001	-0.0002
	(0.0026)	(0.0031)	(0.0031)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0089	0.2168	0.2216
Outcome mean (joint)	0.0246	0.0246	0.0246
Master only vs. below bachelor	-0.0047	-0.0045	-0.0041
	(0.0033)	(0.0037)	(0.0038)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0086	0.2167	0.2216
Outcome mean (categories)	0.0246	0.0246	0.0246

Notes: All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.